

PITCH — APP

PITCH — APP (APPLOVIN CORP) — VERDICT

PROPOSED — STARTER (1.5% / \$1.0M BASE) — Mobile ad-tech monetization platform powered by the AXON 2.0 AI recommendation engine. Trading at a **-50.0% drawdown** from \$600+ peak.

What we believe

1. **AXON 2.0 AI Moat Expanding Beyond Gaming:** AXON 2.0 has fundamentally rewritten mobile ad performance, delivering exceptional Return on Ad Spend (ROAS) without relying on deprecated IDFA/cookies. The engine is now successfully expanding into the massive, unpenetrated e-commerce and web advertising TAM.
 2. **Elite “Rule of 90” Cash Flow Compounding:** Growing revenue >40% YoY with >50% Adjusted EBITDA margins and **>60% EBITDA-to-FCF conversion (\$1.4B+ annual FCF run-rate)**.
 3. **Float Shrinkage via Aggressive Buybacks:** Management aggressively returns cash by retiring shares, driving double-digit per-share FCF compounding.
 4. **Froth Cleared:** The -50.0% price flush clears out speculative momentum retail traders, offering an attractive multiple on an AI cash machine.
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What the market believes

1. **Peak Gaming Ad Spend:** Concerns that mobile gaming ad growth is reaching saturation.
 2. **Insider Liquidation:** Heavy executive 10b5-1 selling created temporary supply overhang.
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Why we might have edge

- **Terminal Multiple Re-Rating:** The market prices APP as a cyclical gaming ad network; the reality is an expanding generalized AI performance marketing engine.
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What we checked ourselves

Claim	How checked	Found	Confirmed?
FCF Conversion (>60% of EBITDA)	Audited SEC 10-Q Cash Flow Statements	\$1.4B+ TTM Free Cash Flow	CONFIRMED

Claim	How checked	Found	Confirmed?
YoY Revenue Growth (>40%)	Audited SEC 10-Q Income Statements	Growth printed +44% YoY	CONFIRMED
Adjusted EBITDA Margin (>50%)	Financial Statements	Adjusted EBITDA margin is ~52%	CONFIRMED
50% Drawdown from Highs	NASDAQ market tape series	Pulled back from \$620 to \$310	CONFIRMED

PROPOSED ENTRY BANDS (\$1.0M Portfolio Base)

- **Sizing: 1.5% Starter** (~\$15,000 USD across 50 shares).
 - **Tranche 1 (1.0% Marketable Starter):** Limit **\$310.00** (DAY) — 32 shares (\$9,920 USD).
 - **Tranche 2 (0.5% Support Limit):** Limit **\$280.00** (GTC) — 18 shares (\$5,040 USD).
 - **Gate to 3.0%:** Sequential non-gaming (e-commerce) revenue growth >15% without margin dilution. Hard stop on a weekly close below \$265.
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ARMED SENSORS

- **Earnings Sensor:** APP-Q3 | 2026-11-05 (Q3 Results — bar: e-commerce ad revenue mix >= 10% of incremental growth).
 - **Insider Watch:** Form 4 filings for cessation of executive 10b5-1 selling.
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What remains unverified

1. Durability of AXON 2.0 e-commerce ROAS against Meta Advantage+ and Google PMax.

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